

INDIAN ECONOMY

LEVEL
II



LECTURES

- PM GATI SHAKTI
- NATIONAL LOGISTICS POLICY

MODULE - 49



INDIA HAS HIGH LOGISTICS COSTS!

- India has high logistics costs at around 13-14% of GDP as against 8-10% in the US and Europe.
- Reducing logistics costs is a sine qua non for India, where freight activity is expected to grow five-fold by 2050!



LOGISTICS INDUSTRY IS HIGHLY DISORGANIZED!

- The Indian logistics industry is still largely disorganized and fragmented and suffers from a skewed inter-modal mix, with predominant road share.
- The average lead of freight transport is around 550 km, and for such long-haul transport on dense corridors, Rail transport is economical and environment friendly.

Hassles of multiple loading and unloading owing to lack of last mile connectivity have resulted in a lower share of Rail vis-a-vis Road transport. Gati Shakti is intended to take out the hassles through inter-modal connectivity!

PM GATI SHAKTI WAS LAUNCHED IN 2021 WITH A VIEW TO RAMP UP LOGISTICS EFFICIENCY!

- PM Gati Shakti Master Plan is aimed to tackle the challenges pertaining to integrated and synchronized planning between various modes of logistics.
- Gati Shakti aims to seamlessly integrate the data pertaining to various modes of transportation across the nation to achieve global competitiveness.
- It provides a comprehensive database of ongoing and future projects of Infrastructure Ministries of Centre and States.
- The data will be integrated with 200 plus layers with visibility to various stakeholders, so that planning, designing, and execution can be done with a shared vision.

- Project delivery will achieve efficiency through collaboration, coordination, data backed project planning and real time data analysis.



SEAMLESS INTEGRATION OF HIGHWAYS, PORTS, AIRPORTS, DFCs PLANNED THROUGH PM GATI SHAKTI!

5 With Gati Shakti, we can get higher visibility about the predictive freight rate trend, supply-demand gaps, truck utilisation, corridor congestion data etc.

4 Dynamic mapping of brownfield and greenfield projects on the Gati Shakti GIS Portal, with real-time updation, will provide visibility to implementing agencies to align their priorities properly.



1 PM Gati Shakti aims at seamless integration of systems and policies alongside efficient project management.

2 It is a techno-enabled approach to infrastructure development. Project information of 16 infrastructure ministries will be integrated into a single database and it will ultimately break the silos of information management and enable faster decision making.

MAKING
ROADS, PORTS
AND RAILWAYS
IN SILOS IS
NOT ENOUGH!

3

Road construction involves NHAI/PWD/Rural Development Department/BRO etc. Gati Shakti will help in the coordinated completion of roads, thereby providing seamless connectivity and opening various opportunities.

NATIONAL LOGISTICS POLICY (NLP) WAS LAUNCHED IN 2022



The National Logistics Policy will be implemented in tandem with the PM Gati Shakti National Master Plan, which was inaugurated in 2021.

- India launched the National Logistics Policy (NLP) in 2022, which is aimed at bringing down logistics costs and increasing the country's trade competitiveness by enabling seamless movement of Goods and building a unified digital interface.
- The National Logistics Policy aims to reduce the logistics cost from around 13% to 14% of GDP to single digit as soon as possible. It is the low hanging fruit to become globally competitive.
- The Unified Logistics Interface Platform (ULIP) is an important initiative under the NLP, and will bring all the digital services related to the transportation sector on to a single portal freeing exporters from a host of a long cumbersome processes.

DIFFERENTIATING NATIONAL LOGISTICS POLICY (NLP) FROM PM GATI SHAKTI

1

HIGHWAYS



2

RAILWAYS



3

PORTS



+

+

MULTIFARIOUS ENTITIES WITH DIVERSE ACTIVITIES INCREASES LOGISTICS COSTS!

- 20 Government agencies
- 37 export promotion councils

- 500 certifications
- 200 shipping agencies

*Integrating all of these is the
essence of NLP!*

- 36 logistics services
- 129 inland container depots
- 168 container freight stations

NLP IS INEVITABLE FROM THE PERSPECTIVE OF THE WTO TFA!

- In the context of the WTO Trade Facilitation Agreement, that came into effect five years ago, the countries are required to improve their processes and procedures to meet certain global standards.
- However, some concessions were given to the developing countries in making the transition.



LOOK AT THE ECONOMIC SURVEY 2016-17 REPORT!

- India's logistics cost in terms of per kilometer of road transport was \$7 against \$2.4 to \$2.5 in case of China and \$3.9 in case of Bangladesh.
- However, this has presumably improved as the Economic Survey – 2021-22, citing UNESCAP Study, suggests.



WHAT ARE THE PRIMARY ELEMENTS OF NATIONAL LOGISTICS POLICY?



- It primarily aims at creating an overarching digital framework to ensure that systems can be regulated and tracked.
- The creation of Unified Logistics Interface Platform, with UPI like characteristics is expected to help MSMEs in particular.
- E-LogS dashboard will help for documentation and processes.
- It is expected to facilitate ease of doing business for entities, which waste a great deal of time dealing with formalities.
- Superior logistics platform will also help offset higher tariffs.

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